CSIS AUSTRALIA CHAIR

# Australia Daily Brief

Friday, October 23, 2026

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**RE:** NZ military chief resigns over 'inappropriate relationship' · PNG parliament debates Bougainville independence ratification · Solomon Islands seizes Chinese cargo ship MV Wealth · US launches Pacific anti-cartel police network, Palau hub · Australia sanctions North Korean nuclear-funding network

| ASX 200 | AUD/USD | NZX 50 | NZD/USD |
|---|---|---|---|
| 8,795 | 0.7020 | 13,734 | 0.5688 |
| -0.13% | +0.69% | -0.14% | +0.51% |

IN THIS ISSUE Top Stories · Overnight · Stat · Pacific · New Zealand · China-Pacific · Canberra · Markets · Documents · Upcoming · The Wire · Analysis

## TODAY AT A GLANCE

1. New Zealand's top military officer, **Tony Davies**, resigned Friday after admitting to an inappropriate relationship, leaving Wellington without a confirmed defence chief weeks before the November 7 election.
2. Papua New Guinea's parliament opened debate on ratifying Bougainville's 2019 independence referendum, in which 97.7 percent voted to secede, with a vote expected after debate resumes in November.
3. **Penny Wong** announced fresh Australian sanctions on North Korean operators laundering funds for Pyongyang's nuclear weapons program, extending a cybercrime-focused sanctions push.

## TOP STORIES

NZ-DEFENSE

### New Zealand's top military officer resigns over 'inappropriate relationship'

New Zealand's most senior military officer, named in wire reports as **Tony Davies**, resigned Friday after admitting to an inappropriate relationship. Reuters, AP, AFP and the Washington Post each reported the resignation the same day, without disclosing further detail. It comes just over two weeks before New Zealand's November 7 general election, with advance voting due to open October 26.

per Washington Post: "New Zealand's military chief resigns after admitting to an inappropriate relationship" · also Reuters

PACIFIC-POLITICS

### PNG parliament opens debate on ratifying Bougainville independence

Papua New Guinea's national parliament opened debate this week on whether to ratify the result of Bougainville's 2019 independence referendum, in which *97.7 percent* of voters backed secession. Every member is being given a chance to speak before the debate resumes in November and moves toward a ratification vote. The government says that while ordinary constitutional amendments need a two-thirds majority, ratifying Bougainville's independence would require support from three-quarters of MPs, according to ABC's Tok Pisin-language Wantok program.

per RNZ: "Bougainville scars acknowledged as Papua New Guinea MPs near big decision"

CHINA-PACIFIC

### Solomon Islands confiscates Chinese cargo ship after law-breaking voyage

The Solomon Islands government has taken ownership of the Chinese-flagged cargo vessel MV Wealth after it breached maritime law entering the country's waters in June, according to ABC's Tok Pisin-language Wantok program. A Solomon Islands patrol boat arrested the ship in an operation involving the Forum Fisheries Agency and other government agencies. Roughly twenty Asian nationals aboard appeared in court this week and remain on bail in Rove ahead of a further hearing next week.

per ABC Pacific (Wantok): "Solomon Islands tekem ownership long wanfala kago ship blong China"

PACIFIC-DIPLOMACY

### US launches Pacific police network to counter drug cartels, hub in Palau

The US State Department has launched a Pacific police program designating Palau as the regional hub for training and operations against narcotics trafficking, backed by *$44 million* in new programming. Officials said Pacific-transiting narcotics from South American and Southeast Asian cartels have surpassed the historic flow from Asia since 2024. The announcement followed the inaugural US-Pacific Islands Conference of Police Ministers, held in Los Angeles on October 21 and 22.

per Pacific Island Times: "US launches initiatives to police the Pacific against drug cartels"

## OVERNIGHT

AU-FOREIGN-POLICY

Australia sanctions North Korean networks funding nuclear program · ABC Politics

Foreign Minister **Penny Wong** announced sanctions against two North Korean nationals, Sim Hyon Sop and Yu Py Ung, and associated companies accused of running fraudulent IT worker schemes to launder funds for Pyongyang's nuclear program. The FBI has separately offered a *$5 million* reward for information on Sim Hyon Sop. Canberra said the scheme violates UN sanctions obligations.

AU-POLITICS

Australian agency considered firing KPMG over data-handling breach · Reuters

Internal documents show a federal agency considered terminating KPMG's contract after a data-handling rule breach, Reuters reported, extending scrutiny of the firm already under a federal contract

pause through 2027. The exclusive report did not name the agency or specify the breach beyond the rule violation.

**NZ-POLITICS**

AFP debunks AI image of NZ Labour leader before election · AFP

AFP Fact Check found a circulating AI-generated image pairing New Zealand's Labour leader with a former prime minister was fabricated and being used to mislead voters ahead of the November 7 election. The finding adds to concerns about synthetic media in the campaign's final stretch.

**TRADE-ECONOMY**

Australia's Zip shares tumble 50% after fraud incident · Reuters

Shares in Australian buy-now-pay-later firm Zip fell *50 percent* after a fraud incident dented first-quarter customer growth, Reuters reported. The company did not immediately detail the scale or nature of the fraud.

## STAT OF THE DAY

# 97.7%

Share of Bougainville voters who backed independence in the 2019 referendum

PNG's national parliament opened debate this week on whether to ratify that result, with a vote expected after debate resumes in November.

RNZ

## PACIFIC WIRE

VANUATU · ABC PACIFIC

### Vanuatu warns 'Second Republic Movement' members could face sedition

Vanuatu's government said the self-styled 'Second Republic Movement' is acting illegally and that participants could face sedition charges, after reports the group raised a new flag in Gaua, Torba province. Local custom council chair Ray Mol said villagers were 'quite worried' and had told provincial and national authorities they did not support the movement.

FIJI · ISLANDS BUSINESS

### Fiji Law Society says constitution consultation rushed

The Fiji Law Society said the government's consultation process on constitutional changes has been rushed and opposes any provision granting future coup immunity, according to Islands Business's PACNews wire. Fiji's deputy prime minister, Manoa Kamikamica, has separately defended the proposed changes.

REGIONAL · RNZ NATIONAL

### Pacific churches call for review of Israel's new PIF status

The Pacific Conference of Churches called for a review of Israel's newly approved status as a Pacific Islands Forum development partner, urging that all Forum engagement with Israel be suspended until it complies with international court rulings and UN resolutions. The call follows a divided reaction in Wellington to the Forum's decision.

TONGA · RNZ PACIFIC (WIRE)

### Tonga jails deported Australian Comanchero founder for twelve years

A Tongan court sentenced Eneasi Taumoefolau, deported from Australia in 2022 after drug convictions, to twelve years in jail for establishing a Comanchero motorcycle gang chapter in Tonga. Justice Elisapeti Langi called it 'a structural assault on the fabric of Tongan society.' Taumoefolau told the ABC he set up the chapter to 'piss off' Australian authorities over his deportation.

## NEW ZEALAND

NZ-FOREIGN-POLICY · RNZ PACIFIC (WIRE)

### New Zealanders' distrust of US and China both rise, poll finds

A new Asia New Zealand Foundation survey found *36 percent* of New Zealanders now view China as a threat, up from 23 percent in June, while just 23 percent see China as a friend, down from 43 percent. Trust in the United States has also fallen, with 39 percent now viewing Washington as a threat and only 24 percent as a friend, down from 39 percent. The foundation's Dr **Julia MacDonald** linked the shift partly to China's July ballistic missile test in the Pacific.

NZ-DEFENSE · RNZ PACIFIC (WIRE)

### NZ Defence Force advances 'stepping stone' to anti-drone capability

A newly released Cabinet paper from July shows the New Zealand Defence Force won approval to buy a foreign-made counter-drone system, reportedly a *$2 million* Danish system already used by Australia. The paper said the system would not fully protect against advanced drone threats seen in Ukraine or the Middle East but would establish a 'critical foundation' for future capability, including systems able to physically destroy drones.

NZ-POLITICS · BLOOMBERG

### NZ cost-of-living crisis drives election vows to rein in business

Bloomberg reported that New Zealand's cost-of-living pressures are pushing political parties toward campaign promises to constrain business practices ahead of the November 7 election, as voters weigh which party can address affordability.

## CHINA IN THE PACIFIC

KIRIBATI · OTHER · ISLANDS BUSINESS

### Kiribati president reaffirms one-China policy

Kiribati's president reaffirmed the country's adherence to the one-China policy, according to Islands Business's PACNews wire. The bulletin did not elaborate further on the context of the statement.

## CANBERRA POLITICS

AU-POLITICS · SMH FEDERAL POLITICS

### Albanese granted Greens 15 staff before party blocked PM powers inquiry

One Nation leader **Pauline Hanson** accused **Anthony Albanese** of playing 'political games' after it emerged he granted the Greens *fifteen* additional staff shortly before the party blocked a crossbench push for an inquiry into prime ministerial powers. Hanson and independent senators are demanding staffing levels equal to their crossbench colleagues.

AU-POLITICS · ABC POLITICS

### Nationals' Landry to retire, clearing path for Canavan's lower-house bid

Queensland Nationals MP **Michelle Landry** announced she will retire from federal politics at the next election, after holding the seat of Capricornia since 2013. The move paves the way for Nationals leader **Matt Canavan** to seek preselection for the lower house seat as the party braces for a possible wipeout by a surging One Nation.

AU-POLITICS · GUARDIAN AUSTRALIA

### Greens senator Steele-John's position remains unresolved amid misconduct claims

More than a week after allegations that Greens senator **Jordon Steele-John** behaved inappropriately toward women, his position in the party remains unresolved, testing new leader **David Shoebridge**'s handling of the matter ahead of Senate estimates, the Guardian's Sarah Basford Canales reported. A three-page letter had urged Shoebridge to commission an independent investigation.

AU-POLITICS · THE AUSTRALIAN

### Pocock says PM's defence on Haines 'dirt sheet' claims 'not good enough'

Independent senator **David Pocock**, an ally of injured independent MP Helen Haines, said **Anthony Albanese**'s defence over claims regarding a 'dirt sheet' was 'not good enough,' per The Australian. The exchange adds a political dimension to the aftermath of Monday's car attack on Haines outside her Wangaratta office.

AU-POLITICS · SMH FEDERAL POLITICS

### Haines attack prompts debate on Canberra's shifting political mood

SMH reported that Canberra's mood shifted from shock to 'something darker' as the severity of **Helen Haines**'s injuries became clear, prompting broader debate over whether decent political disagreement remains possible. The piece noted Haines had built her career on the premise that opponents could disagree without rancor.

AU-POLITICS · WASHINGTON POST

### Second female Australian lawmaker threatened days after Haines attack

West Australian state MP **Hannah Beazley** was allegedly threatened with an 'improvised martial arts weapon' at her Victoria Park electorate office, days after the car attack on federal MP Helen Haines. WA Police Commissioner Col Blanch said the accused was known to police but urged politicians not to retreat from public life, adding to a national debate over politician security.

## BUSINESS AND ECONOMY

TRADE-ECONOMY · THE AUSTRALIAN

### Chalmers flags weaker growth, rising unemployment in budget update

Treasurer **Jim Chalmers**'s budget update signalled weakening growth and rising unemployment as inflation and interest rates bite, The Australian reported, a trend Bloomberg separately forecast as likely to undershoot expectations. Chalmers accused political opponents of wanting higher inflation for political gain, Politico's Canberra Playbook reported.

TRADE-ECONOMY · REUTERS

### Snowy Hydro cost estimate blows out, figures diverge across reports

Reuters reported the Snowy 2.0 hydro project's cost has risen to an estimated *$18 billion*, while The Australian and Bloomberg cited a higher figure near $25 billion, described as roughly eleven times the original estimate. The blowout has become a flashpoint in debate over Australia's renewable energy transition costs.

TRADE-ECONOMY · REUTERS

### Rio Tinto to invest $1.9 billion in Queensland bauxite project

Rio Tinto will invest *$1.9 billion* in a Queensland bauxite project, Reuters and Bloomberg reported, expanding the miner's footprint in one of the state's established extractive industries.

TRADE-ECONOMY · BLOOMBERG

**Backlash against AI data centres threatens Australia's $70 billion pipeline**

Bloomberg reported that community and planning backlash against AI data centre developments is threatening roughly *$70 billion* in planned Australian investment, as power and land constraints collide with rapid demand growth.

TRADE-ECONOMY · BLOOMBERG

**Australian gas generation falls to lowest level since 2000**

Bloomberg reported Australian gas-fired power generation has dropped to its lowest level since 2000 as battery storage capacity expands rapidly across the grid, accelerating the displacement of gas in the electricity mix.

## PRIMARY DOCUMENTS

COMMUNIQUE · 1NEWS

**Israel approved as second-tier Pacific Islands Forum partner**

The Pacific Islands Forum approved Israel as a second-tier development partner, 1News reported, a decision that has divided reaction across the region and within New Zealand's governing coalition.

JOINT STATEMENT · AU MINISTERIAL

**Australia and Timor-Leste advance security and regional priorities**

Australia's Foreign Minister's office said Canberra and Timor-Leste agreed to advance shared security and regional priorities. Islands Business's PACNews wire separately described the engagement as part of Australia's push to boost defence ties with Timor-Leste and curb China's regional influence.

## UPCOMING

OCT 26

**Advance voting opens for New Zealand general election**

Marks the start of voting in a tight race that will determine the shape of New Zealand's foreign and defence policy coalition.

NOV 7

**New Zealand general election**

Determines whether the National-ACT-NZ First coalition continues or a new government resets New Zealand's defence spending and foreign policy settings.

NOV 28

**Victorian state election**

A test of major-party support and One Nation's rise ahead of the next federal contest.

NOV 2026

**PNG parliament resumes Bougainville independence ratification debate**

A ratification vote would determine whether Bougainville becomes the Pacific's newest independent state, with implications for regional stability and Australian engagement.

## THE WIRE

### NZ-POLITICS

RNZ PACIFIC (WIRE)

**RNZ profiles New Zealanders struggling ahead of election**

RNZ profiled New Zealanders struggling with housing and cost-of-living pressures ahead of the election, including a family of three living in a campervan while the mother undergoes cancer treatment. More than *112,500* people were severely housing deprived at the 2023 census, with housing organisations saying the figure has since grown.

RNZ PACIFIC (WIRE)

**Davidson calls attack on Australian MP Haines 'a chilling warning'**

Green Party co-leader **Marama Davidson** said she felt 'a chill' on learning of the car attack on Australian independent MP Helen Haines, recalling her own 2023 collision with a motorcycle linked to Destiny Church during a counter-protest. Davidson said she still wants New Zealand politicians to remain accessible to constituents.

### TRADE-ECONOMY

REUTERS

**Westpac says latest job cuts not driven by AI**

A Westpac spokesperson told Reuters the bank's latest round of job cuts, reported this week, was not driven by artificial intelligence adoption, pushing back on speculation linking the reductions to automation.

## ANALYSIS AND OPINION

NOT STATED · ASPI STRATEGIST

**With a civilian excuse, China is collecting militarily useful weather data abroad**

The piece argues China has embedded weather stations in Pacific and South Asian countries under a civilian guise, including Solomon Islands, allowing it to collect data with military utility. It warns the practice exploits the legitimacy of global meteorological cooperation to build intelligence advantages. The analysis calls for greater scrutiny of ostensibly civilian Chinese infrastructure projects in the region.

**Argument:** China is using a global meteorological data-sharing framework to install weather stations on foreign territory, including in Solomon Islands and South Asian states, that double as sources of militarily useful data feeding Chinese AI systems.

JAMES STOREN · DEVPOLICY BLOG

**How prepared do PNG's future teachers feel on civic education?**

New survey data from Papua New Guinean student teachers reveals uneven confidence levels in civic education, strong on national values and symbols, weaker on constitutional knowledge and civic institutions. The author, a National Endowment for Democracy program officer, argues this confidence gap could affect the quality of civic education as PNG navigates major constitutional questions, including the Bougainville independence process.

**Argument:** A survey of PNG student teachers finds they feel confident teaching national values and symbols but much less prepared to teach the Constitution and civic institutions, pointing to a gap in PNG's civic education pipeline.

NOT STATED · ASPI STRATEGIST

**Australia's antimony mines don't yet guarantee reliable supply**

The piece argues Australia has invested heavily in identifying antimony resources and building financing mechanisms to encourage critical minerals investment, but a considerable gap remains between having the

> resources and guaranteeing reliable, strategically secure supply. It calls for closer attention to the practical steps needed to close that gap.
>
> **Argument:** Despite years of strategic attention to critical minerals, Australia has yet to translate antimony resource identification and financing mechanisms into a reliably secure supply chain.


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AUSTRALIA DAILY BRIEF

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